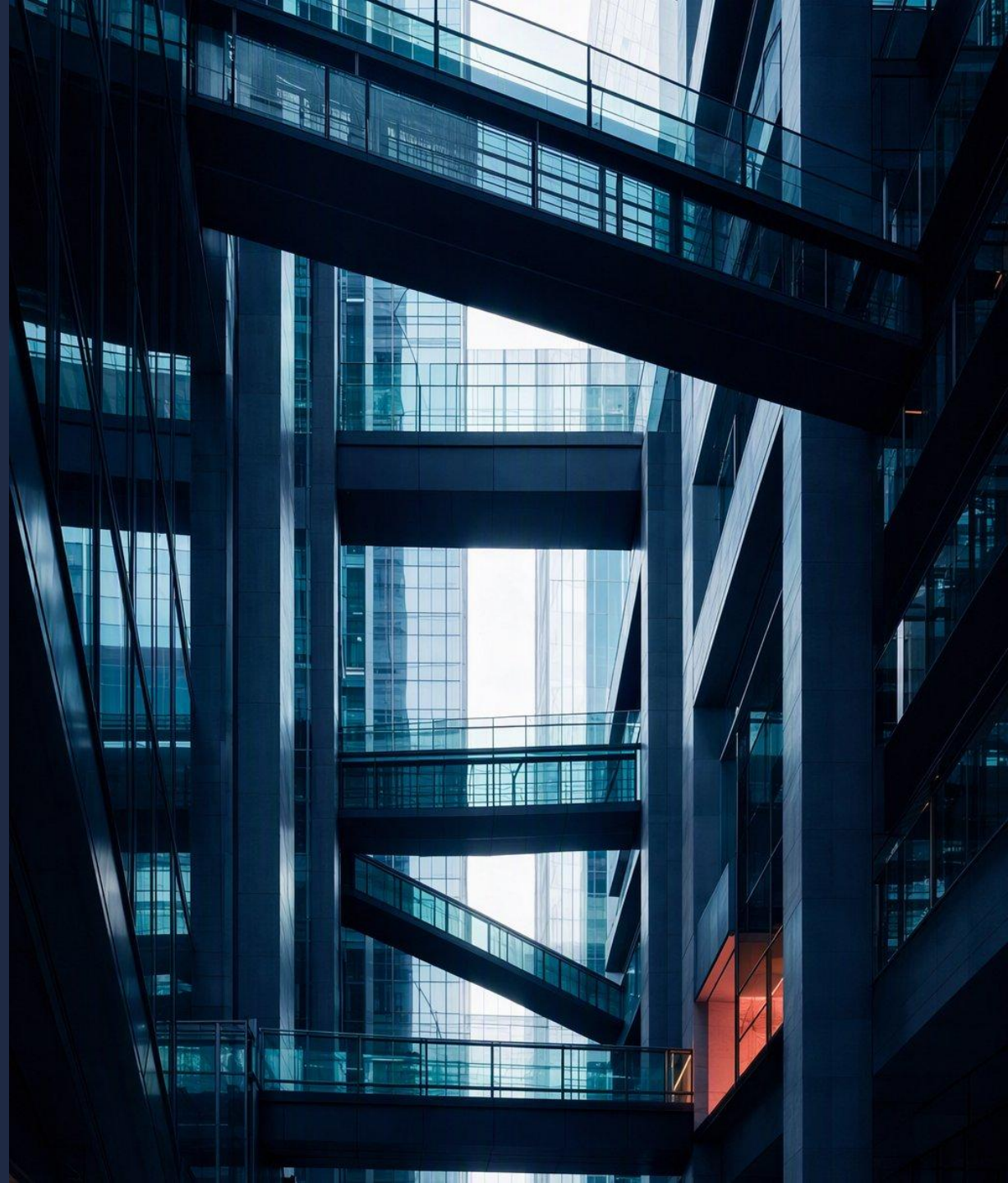
AI TRANSFORMATION STRATEGIES

AI Operating Models

Who Builds, Who Decides, Who Is Accountable

Foundation for AI at scale



Oral project

- Date : 16 november 2026
- Teams of 4-5 present for 20 minutes (15 pitch + 5 Q&A)
- Design : Group oral strategy pitch on a real company dossier, defended under sceptical questioning.
- Role play : the professor plays the role of the CEO of the company. The students are here to present and « defend » their AI strategy
- Should cover all the topics seen during class : readiness assessment with bottleneck, the operating-model recommendation, a preliminary portfolio one-pager on the supplied dossier, financial analysis with investment strategy and return, what change management approach for success

LEARNING OBJECTIVES

What you will be able to do

01

Define

what an AI operating model is — and what it is not

02

Describe

the three archetypes: CoE, federated, hub-and-spoke

03

Match

a model to size, regulatory exposure and talent footprint

04

Explain

how maturity and market forces drive the choice — and its evolution

Our lens for every model: who builds, who decides, who is accountable.

YOUR TURN

Poll

2 minutes
Vote A, B, C or D



Your company has 12 AI pilots in 6 departments — each with different tools, data sources and security standards.

What's the real problem?

A	We picked the wrong AI tools
B	Our data isn't good enough
C	Security standards are too weak
D	Something else — tell us what

WHY IT MATTERS

Most firms cannot scale AI yet

39%

of organisations attribute any measurable EBIT impact to AI

…and just 6% qualify as AI "high performers"

McKinsey, The State of AI 2025



Sources: McKinsey, The State of AI (2025) · Microsoft, State of AI Infrastructure · IDC (2024)

DEFINITION

What is an AI operating model?

AN AI OPERATING MODEL IS…

the decision rights, funding routes and control points that determine how an enterprise builds, approves and runs AI.

01

Talent placement

Where do AI people sit?

02

Platform & tooling

Who owns the stack?

03

Governance & risk

Who sets and enforces the rules?

04

Funding & decisions

Who pays, and who says yes?

Insight: a CoE is the hub in a hub-and-spoke model — not a synonym for the whole operating model.

PART 2

The three archetypes

A spectrum, not three boxes

Centralised CoE | **Hub-and-spoke** | **Federated**

Highly centralised	Centrally led, BU executed	BU led, centrally supported	Highly decentralised

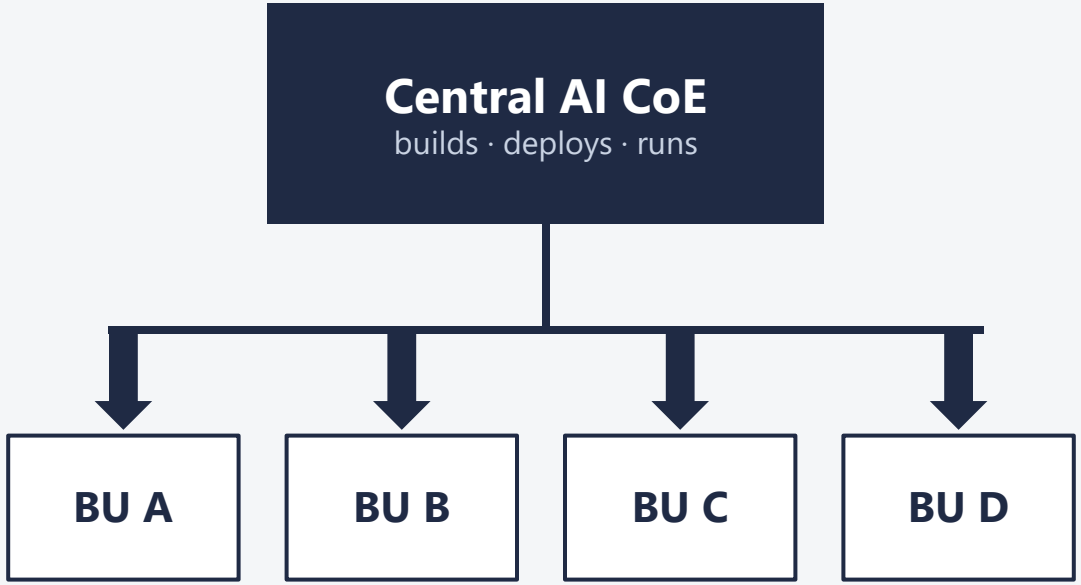
McKinsey's four gen-AI operating archetypes in banking, mapped onto the spectrum

Source: McKinsey, Scaling gen AI in banking: Choosing the best operating model (Mar 2024)



Model 1 · Centralised CoE

One central team owns AI end-to-end; business units request projects.



BUs submit requests; the CoE builds, deploys and runs every AI solution.

STRENGTHS

- Unified standards across the firm
- Pooled, scarce AI talent
- Strong, consistent governance
- One platform, no duplication: one vector DB, one eval framework, one monitoring stack

“Centralization at the onset accelerates AI adoption.”
— Microsoft Cloud Adoption Framework

Source: Microsoft Cloud Adoption Framework — Establish an AI Center of Excellence (Microsoft Learn, 2026)

Where the centralised CoE breaks

01	**Bottleneck**	Requests queue; time-to-value stretches
02	**Ivory tower**	Distance from business context and users
03	**Ownership vacuum**	Built by the CoE, owned by no one in the BU
04	**Talent revolving door**	Specialists leave a ticket-queue role
05	**Shadow AI**	BUs that cannot wait build around the CoE

EXAMPLE

JPMorgan Chase

A Machine Learning Centre of Excellence, with an AI/ML Council for oversight

BEST FOR

- Early AI maturity
- High regulatory exposure
- Scarce AI talent

MODEL 1 OF 3 · CENTRALISED CoE

What a CoE actually does

EIGHT CORE FUNCTIONS

01

Strategy & responsible AI

Set direction, principles and guardrails

02

AI skills

Upskill builders and business users

03

Lead pilots

Prove value on priority use cases

04

Standards

Define and enforce how AI is built

05

Intake & priorities

One front door for AI demand

06

Reusable assets

Templates, components, patterns

07

Measure & report

Track and publish outcomes

08

Manage AI services

Optional: run shared AI services

BUILDING BLOCKS

Executive sponsor
plus a steering committee

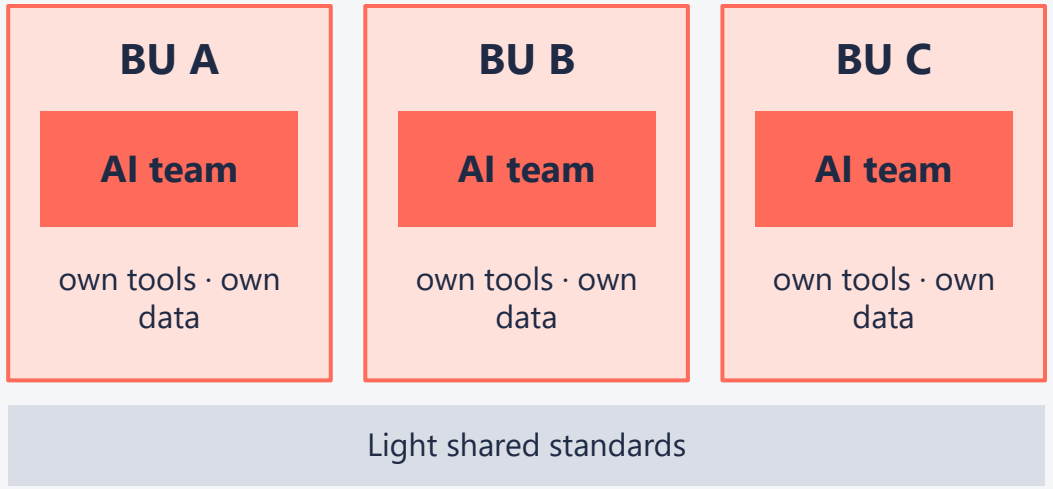
Dedicated CoE leader
accountable for outcomes

Multidisciplinary team
data science, ML engineering, governance, security, AI ops

Build on a Cloud CoE
reuse what already works

Model 2 · Federated

Each BU runs its own AI team under a domain AI leader; shared standards stay light.



BEST FIT

Diverse conglomerates facing different markets and regulators; high maturity; low regulatory intensity. **Hard to run safely in financial services and healthcare.**

STRENGTHS

- **Speed**
- **Domain context**
- **Ownership**

RISKS

2–3×

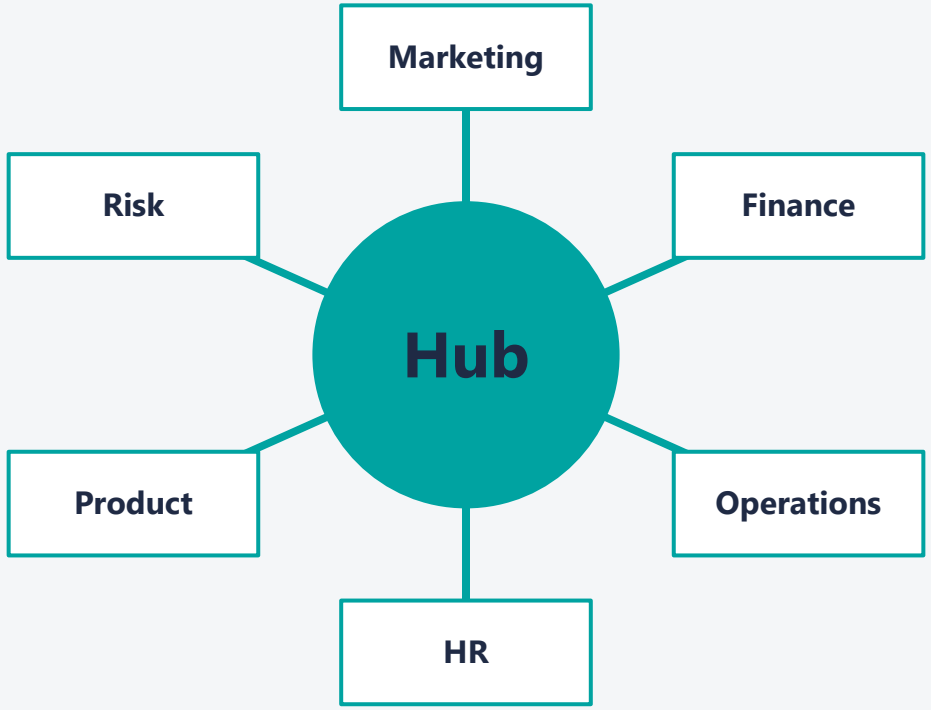
platform spend vs a shared platform, by year two

- Duplicated observability, eval harnesses and model gateways
- Inconsistent risk thresholds
- Vendor sprawl
- No model inventory
- Governance blind spot until an incident

Sources: SFAI Labs, The AI Hub-and-Spoke Org (Jun 2026) · AICA, AI Operating Models (Mar 2026)

Model 3 · Hub-and-spoke

A central hub runs the platform and the rules; embedded spokes deliver the use cases.



HUB OWNS

Platform: gateway, evals, observability
Model-risk policy
Vendor contracts
Model inventory
Talent standards

SPOKES OWN

Use-case selection
Delivery in the business
Embedded practitioners
Dotted line to hub and BU

Infrastructure wants to be centralised; delivery wants to be distributed.

Example: Airbnb moved from one central data-science team to a hybrid — central for careers and standards, embedded in product areas.

Sources: SFAI Labs (Jun 2026) · AICA (Mar 2026) · Scrum.org, AI Team Scaling Models (Apr 2025)

COMPARE THE THREE

Side by side: the trade-offs

	Centralised CoE	Federated	Hub-and-spoke
Who builds	Central CoE team	BU AI teams	Embedded spokes
Who governs	The CoE	Each BU	Hub sets policy
Speed	Slow at scale	Fastest	Fast on shared rails
Risk control	Strongest	Weakest	Strong
Cost efficiency	High	Low: 2–3× platform	High
Talent need	Small, pooled	Large, spread	Core + embedded
Failure mode	Bottleneck, shadow AI	Sprawl, blind spots	Coordination drag
Best fit	Early, regulated, scarce talent	Diverse, mature, light regulation	Enterprises past pilots

READ THE FAILURE ROW

Queue + shadow AI
→ over-centralised

Sprawl + blind spots
→ over-federated

Endless coordination
→ unclear decision rights

Rule of thumb: When possible centralise the platform and governance; distribute delivery.

Sources: synthesis of AICA (2026), SFAI Labs (2026), Microsoft CAF (2026), McKinsey (2024)

YOUR TURN

Think Pair Share

3 minutes
in pairs



Which model does your organisation — or one you know well — use?

What symptom tells you?

Think

1 min

Pick an organisation; name its model

Pair

1 min

Compare with a neighbour: same signs?

Share

1 min

Two or three pairs report back

Clues: a long request queue? Duplicate tools in every unit? One platform everyone builds on?

PART 3

Matching the model to the organisation

1 **Size & complexity**

2 **Regulatory exposure**

3 **Talent footprint**

…then a matching matrix and a simple decision tree



FACTOR 1

Factor 1 · Size & complexity

Watch-out: pure hub models struggle beyond ~4 business units
AI Advisory Practice, AI CoE Operating Model (2026)

Startup / small

Embedded by necessity; add coordination as you scale

Embedded

Mid-size, single business

One CoE serves the whole firm

Centralised CoE

Large, multi-BU

Shared platform, embedded delivery

Hub-and-spoke

Conglomerate of different businesses

Federated, with thin central guardrails

Federated + guardrails

Organisation size and complexity increase →

FACTOR 2

Factor 2 · Regulatory exposure

>50%

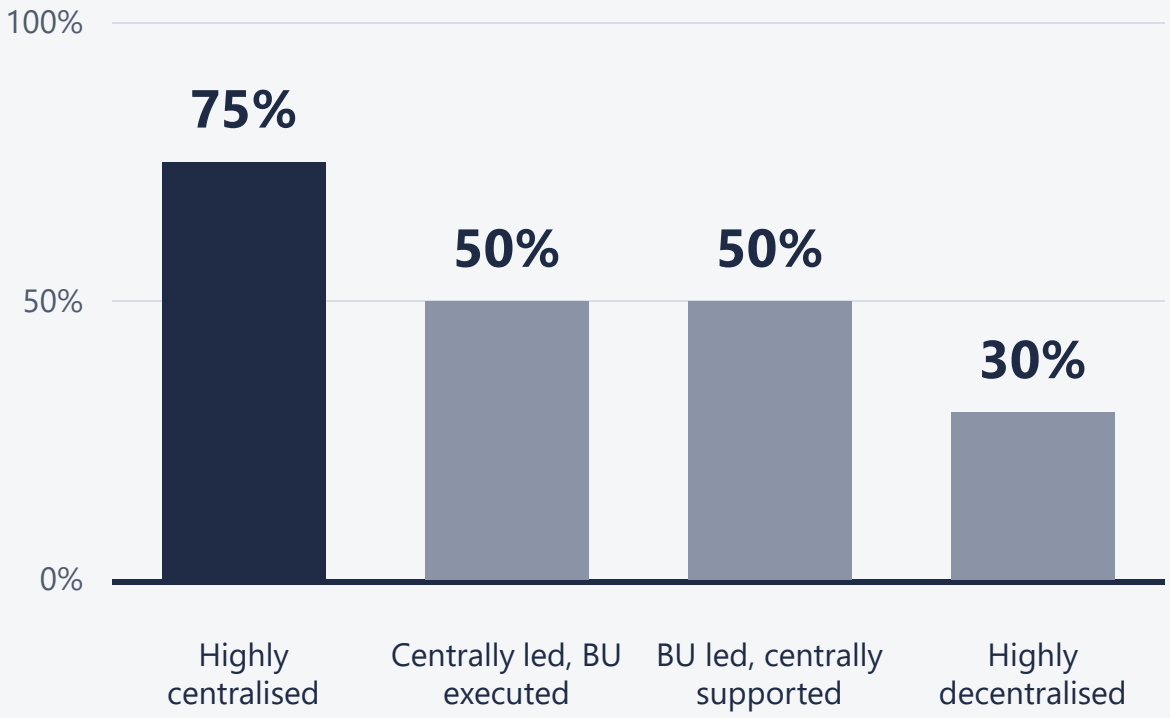
of 16 large European and US financial institutions opted for a more centralised gen-AI approach

RULE OF THUMB

Highly regulated → centralised CoE or a strong hub

An auditor won't accept four different answers from four BUs.

Share of institutions with gen-AI use cases in production, by operating model



Source: McKinsey, Scaling gen AI in banking: Choosing the best operating model (Mar 2024), 16 institutions

FACTOR 2 · REGULATION

EU AI Act: the clock is ticking

2 FEB 2025

Prohibitions and AI-literacy duties apply

2 AUG 2025

General-purpose AI (GPAI) model rules

2 AUG 2026

Article 50 transparency duties; enforcement begins

TODAY · OCT 2026

2 DEC 2027

Annex III high-risk: hiring, credit, education

2 AUG 2028

Annex I regulated products

€35M / 7%

max fine (or % of global turnover) for the worst breaches

Whatever the model: a central model inventory, documentation, logging and human oversight.

Source: European Commission AI Act Service Desk — implementation timeline, as amended by the Digital Omnibus, Reg. (EU) 2026/1744

Factor 3 · Talent footprint

Scarce AI talent A few specialists to share	**Concentrate: Centralised CoE**
Deep talent across BUs Data scientists already in each unit	**Spokes or federated teams**
Geographically distributed Teams across regions and time zones	**Hub with regional spokes**
Low AI literacy in BUs Business users new to AI	**Keep delivery central; build literacy**

RETENTION

80 / 20

delivery vs capability-building time

Clear individual-contributor and management tracks

Sources: COMPEL Framework — AI Capability Center Design · AI Advisory Practice (2026) · Scrum.org (2025)

PUTTING IT TOGETHER

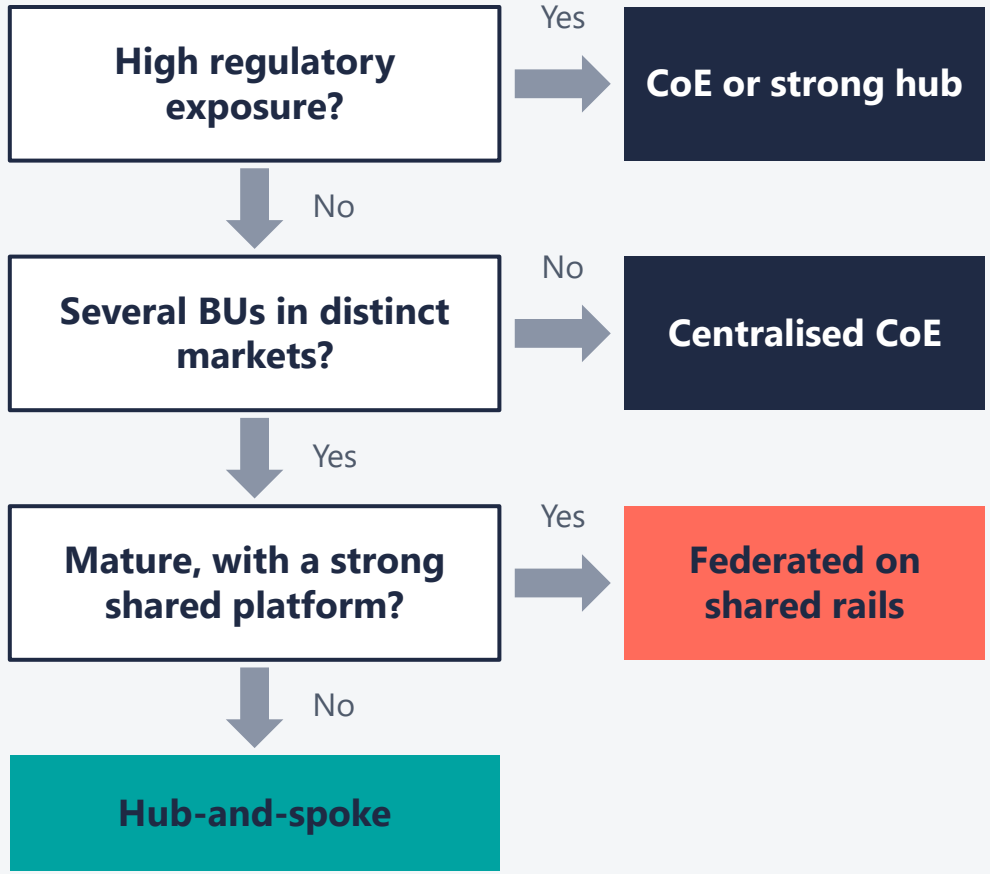
Matching matrix and decision tree

MATCHING MATRIX

Size	Small **Embedded**	Mid-size **Centralised CoE**	Large multi-BU **Hub-and-spoke**
Regulation	Low **Federated**	Medium **Hub-and-spoke**	High **CoE / strong hub**
Talent	Scarce **Centralised CoE**	Concentrated **Hub-and-spoke**	Distributed **Federated**

Centralised CoE Hub-and-spoke Federated / embedded

DECISION TREE



42–52 MIN

PART 4

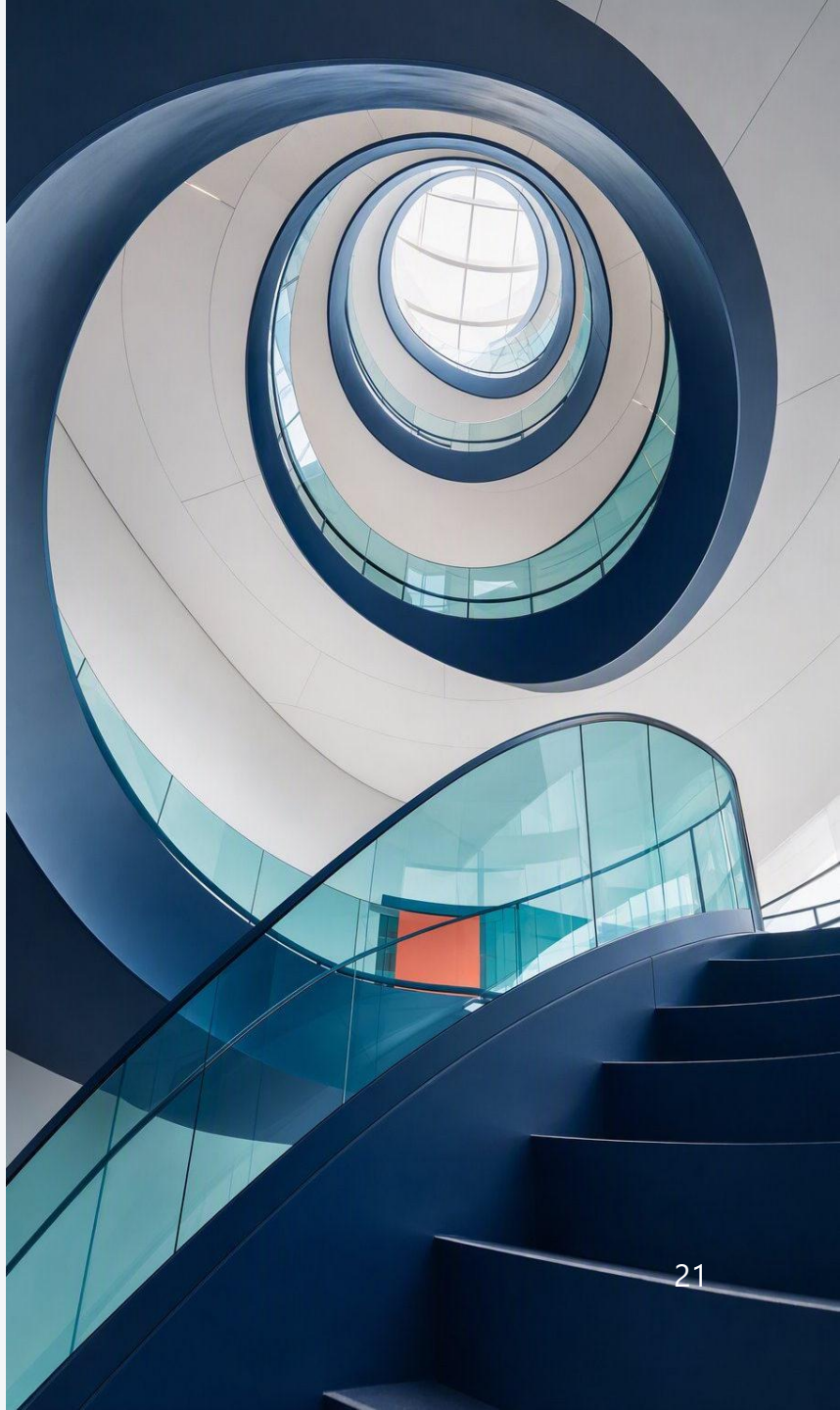
How companies choose — and evolve

1 **Internal vs external drivers**

2 **The maturity arc**

3 **When — and when not — to switch**

The right model today is rarely the right model in three years



DRIVERS

Internal and external drivers

Inside the firm

Seven-factor checklist, plus culture

- AI maturity and models in production
- AI talent today
- Number and diversity of BUs
- AI literacy in the BUs
- Existing data and ML platform
- C-suite sponsorship
- Active governance
- Culture and organisational DNA

Warning: firms overstate their literacy, talent and governance maturity.

Outside the firm

Forces you do not control

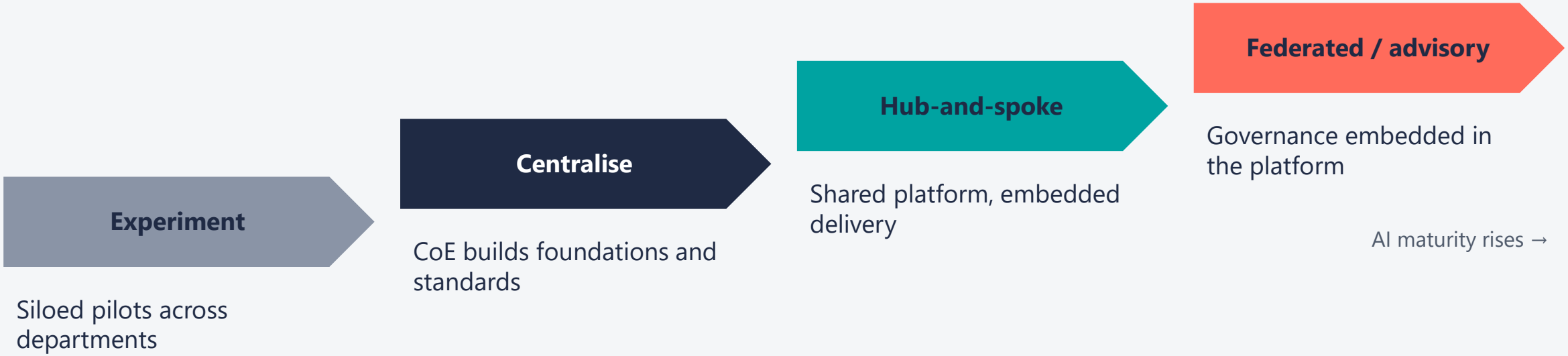
- Regulation: EU AI Act and sector rules
- Market pressure: a speed premium in fast markets; slower sectors may wait
- Talent-market scarcity
- Vendor landscape: agents, build vs buy
- Stakeholder trust and cost pressure

32% forgo a software purchase because internal teams can build with AI

Sources: McKinsey, The State of AI (2025) · AI Advisory Practice (2026) · European Commission AI Act Service Desk

EVOLUTION

Operating models evolve with maturity



Microsoft CAF: move the CoE from central control to an advisory role once governance is built into the platform.

Inflection signals
Approval delays, knowledge bottlenecks, CoE and product teams debating priorities

Maturity is the gate
Federating too early: the look of autonomy, the reality of unmanaged risk

Switching is costly
Plan the next step; revisit the model once a year

Sources: Microsoft Cloud Adoption Framework (2026) · AICA (2026) · AI Advisory Practice (2026)

YOUR TURN

Case exercise

8 minutes
Groups of 3–4



Fictional cases for discussion

Pick a model for each case — justify it

CASE A

EuroBank

40,000 employees
5 business units
Heavily regulated
Scarce AI talent
Early AI maturity

CASE B

RetailCo

15 diverse brands
30 countries
Fast market
Talent in brands
Mid-high maturity

CASE C

ScaleUp

SaaS, 300 people
AI-native squads
Low regulation

JUSTIFY WITH

Size	Regulation	Talent	Maturity	Market

KEY TAKEAWAYS

Five things to remember

01 **No universal winner**
Every model trades speed, control and cost

02 **Centralise platform and governance**
...and distribute delivery

03 **Match the model to the firm**
Size, regulatory exposure and talent footprint

04 **Maturity is the gate**
Federate only once governance lives in the platform

05 **Design for evolution**
Revisit the operating model every year

FOR NEXT SESSION

Think of an organisation you know. If its AI use cases doubled next year, which part of its operating model would break first?

...and what would you change?

REFERENCES

Sources

Microsoft Cloud Adoption Framework — “Establish an AI Center of Excellence” (Microsoft Learn, 2026)

Microsoft Azure Essentials e-book — “Implementing an AI Center of Excellence”

Microsoft Azure Blog — “Scale AI transformation with Azure Essentials: AI CoE guidance” (Jun 2025)

McKinsey — “A data leader’s operating guide to scaling gen AI” (Sep 2024)

McKinsey — “Scaling gen AI in banking: Choosing the best operating model” (Mar 2024); “Decentering gen AI” (May 2024)

McKinsey — “The State of AI” (2025)

European Commission AI Act Service Desk — Implementation timeline

COMPEL Framework — AI Capability Center Design

AICA — “AI Operating Models: Centralized, Federated, or Hybrid?” (Mar 2026)

SFAI Labs — “The AI Hub-and-Spoke Org” (Jun 2026)

Scrum.org — “AI Team Scaling Models in Organizations” (Apr 2025); AI Advisory Practice — “AI CoE Operating Model” (2026)

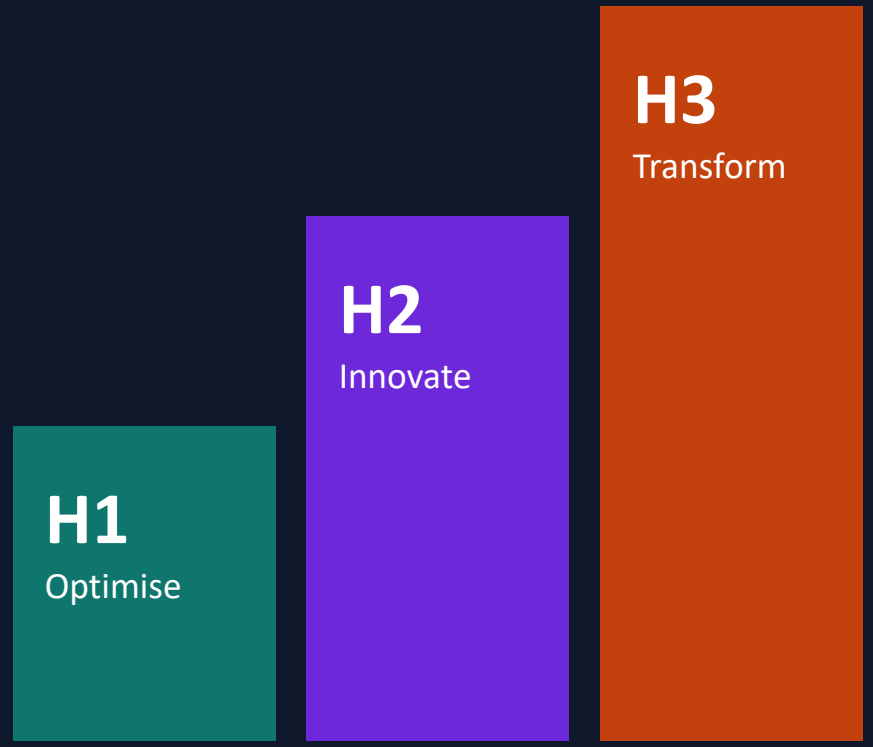
Xebia — “Building an AI Center of Excellence” (2025)

All material is from public sources.

AI TRANSFORMATION STRATEGIES

Sequencing the AI Portfolio

Focus on strategic growth and differentiation, fund with efficiency



Value grows as ventures mature: H3 → H2 → H1

LEARNING OBJECTIVES

By the end, you can do four things

1

PLACE
Place AI initiatives into the Three Horizons.

2

ALLOCATE
Apply the 70-20-10 capital rule, and know when to deviate.

3

CONNECT
Draw the dependency graph, and challenge fake dependencies.

4

SOURCE
Apply Build vs Buy vs Partner to each initiative.

You have 40 AI ideas and budget for 8.

What do you fund first?



8 funded

32 waiting

Sequencing decides which 8 go first, what they unlock, and who builds them.

MCKINSEY · JULY 2026

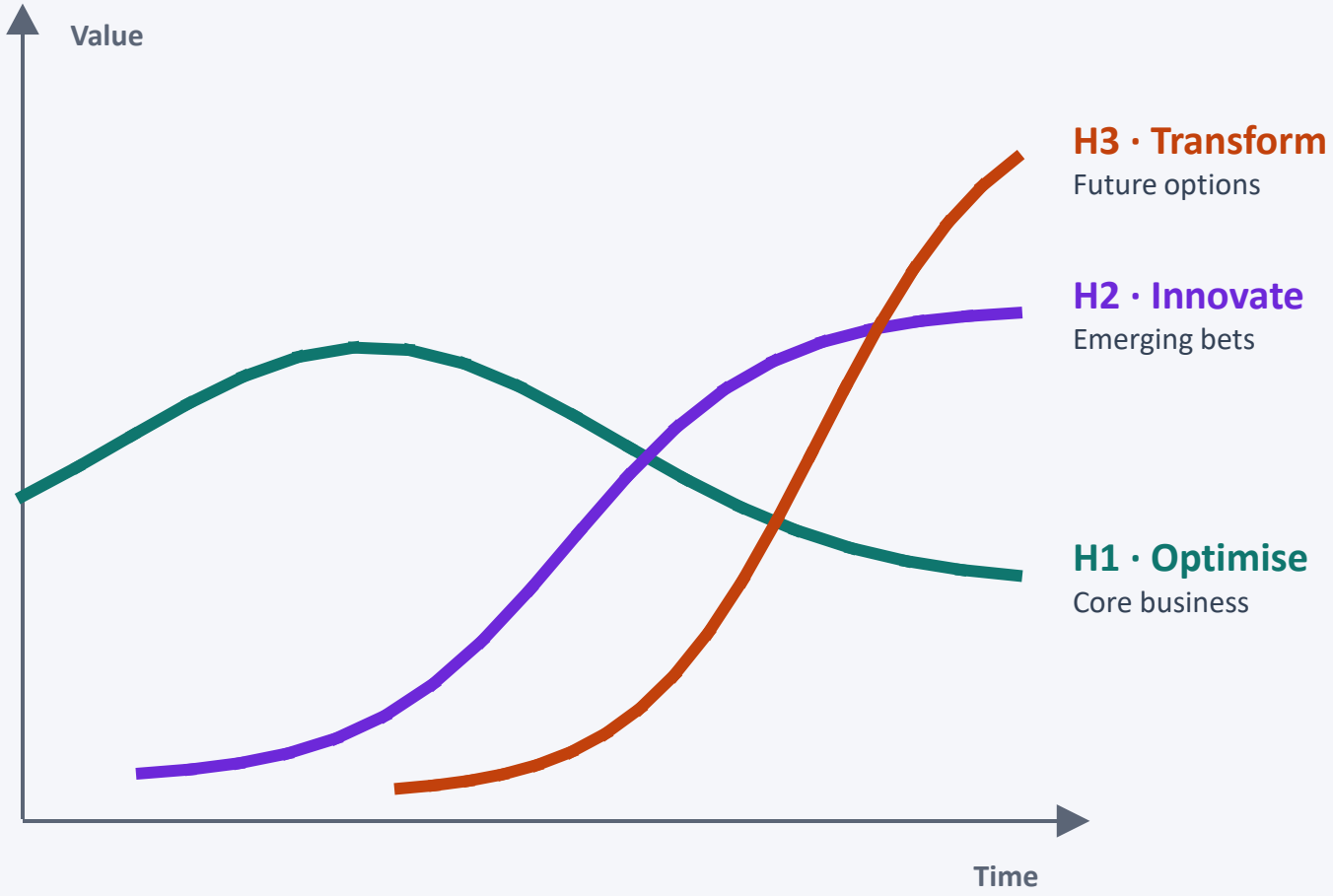
11%

of surveyed leaders say their organisation is in the “reinvention” horizon.

Most leaders, across all horizons, say AI has yet to deliver meaningful enterprise value.

Source: McKinsey, “From adoption to impact: Three horizons of AI transformation” (July 2026).

Three curves, managed at the same time



Run all three at once
Manage the horizons concurrently, never in turn.

Time shows maturity
The axis shows ventures moving H3 → H2 → H1 — not when to pay attention.

H1 shouts loudest
The immediacy of H1 concerns easily overwhelms H2 and H3.

Sources: Baghai, Coley & White, The Alchemy of Growth (1999); McKinsey, “Enduring Ideas: The three horizons of growth” (2009).

Each horizon is run differently

	H1 · Optimise	H2 · Innovate	H3 · Transform
Goal	Do current business better	Do what you do today differently	New markets, mindsets, models
Time to value	Months (under ~12)	1–3 years	3+ years; option value
Risk	Low: proven tech	Medium: evolutionary change	High: revolutionary change
KPI	Cost, productivity, margin	Growth, adoption, NPV	Learning, milestones, options
Management style	Operate and optimise	Invest and scale	Explore, stage-gate, kill fast
AI examples	Entreprise chat; automate a factory process	Self-driving cars; agents; fine-tuned models	Rethink how people travel; new AI-native models

H1 · Core
Greatest profits and cash flow; improve performance.

H2 · Emerging
Future profits, but needs considerable investment.

H3 · Options
Research, pilots, minority stakes for growth later.

Judge each horizon by its own KPIs: never H3 by H1's ROI.

Sources: McKinsey, “Enduring Ideas” (2009); Microsoft ATS, “3.2 Horizon Planning”. Time bands are typical.

Place it with four questions

Q1 **Does it change the customer?**
Same persona, same experience → leans H1

Q2 **Does it change the business model?**
New market or revenue logic → H3

Q3 **Is the technology proven?**
Unproven or frontier tech → H2 / H3

Q4 **Time to value under 12 months?**
Yes, with a known payback → leans H1

TYPICAL ANSWER PATTERN · Q1 · Q2 · Q3 · Q4

H1	H2	H3
No · No · Yes · Yes	Yes · No · Mostly · No	Yes · Yes · No · No

Misplacement traps

AI assistant rollout is not H3
Licences for all = H1 productivity, however new it feels.

A website chatbot is H1
…unless it creates a new revenue model.

New to us ≠ H3
Novel tech on an unchanged model is H1 or H2.

One platform, several horizons
An H1 build can enable H2 / H3: place each slice.

Horizon definitions: McKinsey (2009)

QUICK-FIRE EXERCISE

Place these six: H1, H2 or H3?

01

AI assistant for every sales rep

H1 H2 H3

02

Website chatbot answering FAQs

H1 H2 H3

03

GenAI agent that resolves claims end-to-end

H1 H2 H3

04

AI product configurator for customers

H1 H2 H3

05

Pay-per-km mobility service run by AI

H1 H2 H3

06

Minority stake in an AI biotech startup

H1 H2 H3

Vote with your fingers: 1 = H1, 2 = H2, 3 = H3. Then defend it in one sentence.

Initiatives are illustrative. Answers in the speaker notes.

RULE #1 · HOLD THIS ALL SESSION

Imbalance fails in two directions

H1-DOMINATED

Fails strategically

You optimise yourself into irrelevance.

SYMPTOMS

- AI spend buys efficiency, never growth
- Rivals redefine the customer experience
- Margins up, relevance down

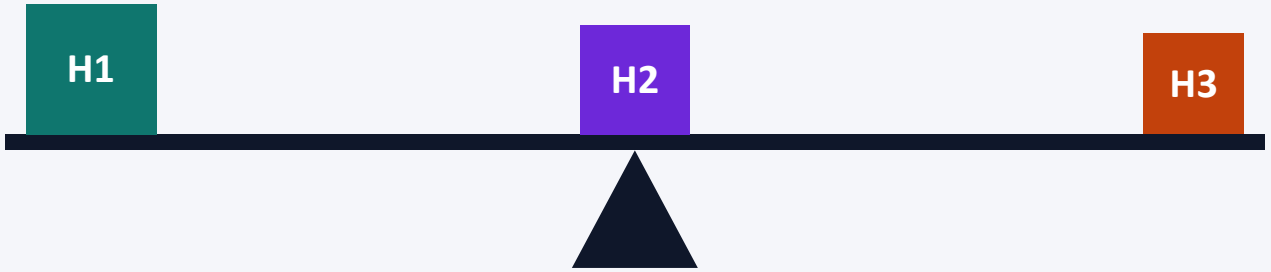
H3-DOMINATED

Fails financially

You burn cash with no near-term returns to fund the journey.

SYMPTOMS

- Many moonshots, no P&L impact
- The CFO loses patience; budget is cut
- Pilots never reach the core business



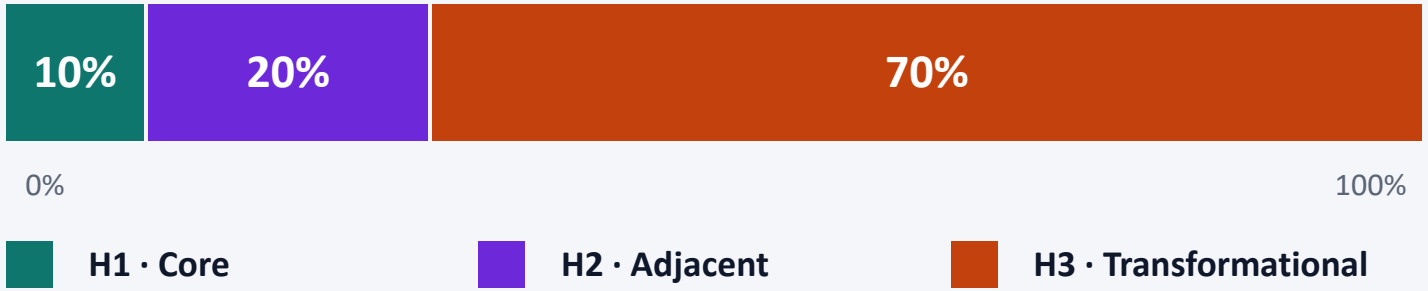
Fund all three, concurrently.
And state why the mix is what it is.

Spend 70-20-10; returns run the other way

INNOVATION RESOURCES (OUTPERFORMERS, APPROX.)



SHARE OF RETURNS (APPROX.)



The ~10% spent on transformation earns ~70% of returns.
The ideal balance differs by industry and company.

To make the 10% work

1. **Separate talent**
   Not the core team's spare time
2. **Separate funding**
   Its own protected budget line
3. **No pipeline management**
   Explore; don't force a funnel
4. **Early metrics**
   Non-economic: learning, milestones

Popularised by Google as 70/20/10.

Source: Nagji & Tuff, “Managing Your Innovation Portfolio”, Harvard Business Review (May 2012). Figures are approximate.

Deviate on purpose, never by drift

TRIGGER	MOVE	EXAMPLE SPLIT H1-H2-H3
Default: stable core, normal pace	Baseline	 **70-20-10**
Fast-moving or AI-disrupted industry	More H2 / H3	 **50-30-20**
Disrupted core or burning platform	Shift to H2 / H3	*Re-weight toward H2 / H3*
Weak cash position or turnaround	More H1 to survive	 **80-15-5**
Regulated or mission-critical	Heavier H1	*Re-weight toward H1*
Startup or digital native	Can invert the split	*Inverted: H3-led*

Write down the trigger and the reason. A split nobody chose is drift.

Base rule: Nagji & Tuff, HBR (2012). Example splits are illustrative, not benchmarks.

Six signs your portfolio is drifting

H3

No H3 beyond pilot

Bets are seeded, never funded to scale.

H2

Pilot purgatory

Many pilots, nothing rewired into a workflow.

H2

H2 starved

Money goes to AI assistant or moonshots, not the middle.

H1

H1 savings vanish

Efficiency gains are not reinvested in H2 / H3.

ALL

Split by drift

Nobody chose the mix; it just happened.

H3

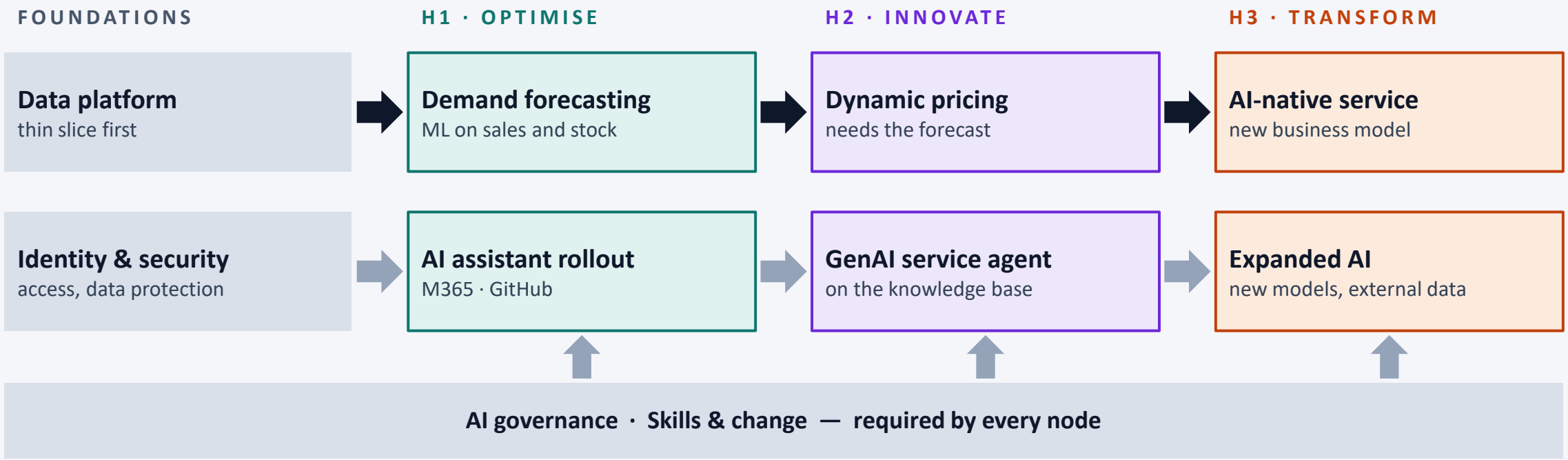
One KPI for all

Year-one ROI is demanded from H3 bets.

Focus where AI creates the most value and rewire workflows; don't spread pilots.

Source for the bottom line: McKinsey, “From adoption to impact: Three horizons of AI transformation” (July 2026).

Map what requires what



Node
An initiative, or a foundation such as data, governance, skills, identity.

Edge A → B
B requires A. Draw only hard prerequisites.

Critical path
The longest chain (dark arrows) sets the earliest date for H3 value.

Illustrative graph.

Draw the graph in four steps

01 List nodes

Every initiative and every foundation: data, governance, skills, identity.

Ask: what is missing?

02 Draw edges

Arrow only where B truly requires A. Tag each edge hard, soft or political.

Ask: would B fail without A?

03 Critical path

The longest chain of 'requires' sets the earliest date for H2 / H3 value.

Ask: what shortens it?

04 Thin-slice

Build the minimum viable foundation the first use case needs. Re-sequence.

Ask: what can start now?

A foundation with no value case attached is just a cost centre.

Fund each foundation together with its first use case.

RULE #2 · HOLD THIS ALL SESSION

Dependency claims are often excuses

“We can't do X until the data lake is finished.”

Often a way to delay, protect budget or avoid risk.

CLASSIFY EVERY CLAIM

HARD	Technical: B cannot run without A. Thin-slice A.
SOFT	Preference: easier with A, workable without it.
POLITICAL	Delay, budget or risk avoidance. Name it.

Challenge them: five questions

1. Is it hard, soft or political?
2. Can a thin slice or minimum viable foundation unblock it?
3. What would we do if the dependency didn't exist?
4. Who gains from the delay: budget, turf, risk?
5. What does waiting cost, and who owns that cost?

Source by strategic driver

DEFEND ≈ H1
Augment productivity

BUY

AI embedded in your SaaS. Fast and proven, but rivals buy it too.

EXTEND ≈ H2
Transform processes

BLEND

Foundation model + your proprietary data + an integrator. Partner where skills are thin.

UPEND ≈ H3
Disrupt markets

BUILD

The differentiating core. Or partner, take a minority stake, back a startup to buy options.

RULE OF THUMB

Build only where it differentiates and you own unique data or skills.

Over-buy and you look like your competitors. Over-build and you pay for what is being commoditised.

29%

of CIOs pursue 10+ AI projects; most manage 5+.

Source: Gartner (Andrews & Hare), “How to Decide Whether to Build, Buy or Blend Your AI Projects”, Apr 2025.

Score six factors, then decide

Factor	Score 1 → BUY	Score 3 → BLEND / PARTNER	Score 5 → BUILD
Differentiation	Commodity; rivals have it	Differentiates with our data	Core of our advantage
Proprietary data	None or generic	Some unique data	Unique data we own
Time-to-market	Needed now	Months, with a partner	Can wait to get it right
Skills available	None in-house	Partial; partner fills gaps	Strong in-house team
Regulatory / sovereignty	Vendor-certified is enough	Shared controls needed	Must keep full control
Total cost of ownership	Vendor scale is cheaper	Shared cost and risk	Cheaper to own at our scale

How to score

1 Score each factor 1–5

2 Weight what matters most

3 Average, then decide

4 Sovereignty at 5 can force build

Average ≤ 2
BUY

Average 2 – 4
BLEND / PARTNER

Average ≥ 4
BUILD

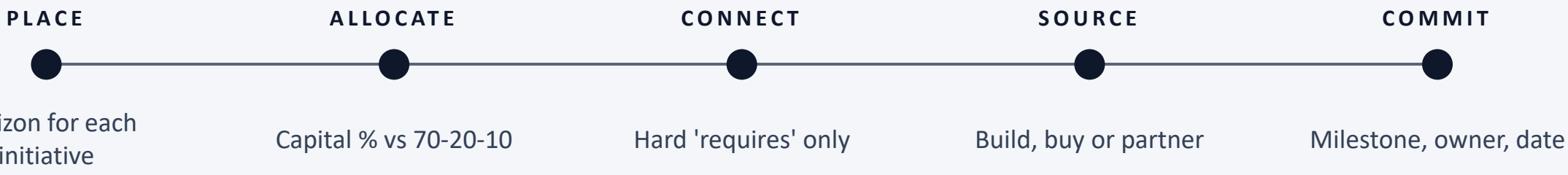
Factors adapted from Gartner (Andrews & Hare, 2025). Scoring scale and thresholds are illustrative.

One canvas sequences the portfolio

Initiative	Horizon	Capital %	Depends on	Build / Buy / Partner	First milestone
e.g. AI assistant rollout	H1	10%	Identity & security	Buy	Pilot team live in Q1
e.g. Service agent	H2	8%	Knowledge base slice	Blend	One claim type automated
e.g. New AI service	H3	5%	Customer data slice	Build + partner	Paid pilot, one city
…	…	…	…	…	…

Canvas rules

- Capital column sums to 100%
- Dependencies name a slice, not a lake
- Every row has an owner and a date



Sequencing canvas: course tool. Example rows are illustrative.

WORKSHOP CASE · FICTIONAL

Maison Lumière

Mid-size European retailer

€2B

annual revenue

€20M

AI budget to sequence

Teams of 4–5
12 minutes, one canvas each

Ten candidate initiatives

01	AI assistantrollout	**06**	Data platform modernisation
02	GenAI customer service agent	**07**	AI-native subscription styling
03	Demand forecasting ML	**08**	Supplier negotiation agent
04	Personalised marketing content	**09**	Dynamic pricing
05	Store-ops computer vision	**10**	AI governance office

Fictional teaching case. Company, figures and initiatives are illustrative.

WORKSHOP · 11 MIN OF TEAM WORK

Sequence €20M for Maison Lumière

2 min	**Place** H1, H2, H3 or foundation for each of the 10
3 min	**Allocate** Split €20M; justify any move off 70-20-10
2 min	**Connect** Draw 'requires' edges and the critical path
2 min	**Source** Build, buy or partner, scored on 6 factors
2 min	**Challenge** Is the CIO's claim hard, soft or political?

THE CIO SAYS

“No personalisation, no service agent, no pricing until the data platform is finished. That's 24 months.”

YOUR MOVE

Classify the claim. Propose a thin slice that starts value this year.

Fictional case; all figures illustrative. Model answer in the speaker notes.

DEBRIEF

Six mistakes we see every time

COMMON MISTAKE	BETTER MOVE
Calling a Copilot rollout H3	H1 productivity: track cost and time
The split happened by drift	Pick 70-20-10 or justify the deviation
Foundations with no use case	Fund each foundation with a use case
Accepting every dependency claim	Classify it, then thin-slice it
Building what is being commoditised	Build only where you differentiate
Same KPI for every horizon	H3 earns learning metrics first

KEY TAKEAWAYS

Two rules, four moves

RULE #1

An H1-dominated portfolio fails strategically: you optimise yourself into irrelevance. An H3-dominated portfolio fails financially: you burn cash with no near-term returns.

RULE #2

Dependency claims are often excuses: challenge them. Hard, soft or political? Can a thin slice unblock it? What if the dependency didn't exist?

Place

Every initiative in H1, H2 or H3

Allocate

70-20-10 by default; deviate on purpose

Connect

Hard dependencies, critical path, thin slices

Source

Buy to defend, blend to extend, build to upend

READINGS & SOURCES

Go deeper

1999

Baghai, Coley & White, The Alchemy of Growth (McKinsey)
Origin of the Three Horizons model.

2009

McKinsey, “Enduring Ideas: The three horizons of growth”
Manage all three horizons concurrently.

2012

Nagji & Tuff, “Managing Your Innovation Portfolio”, HBR, May 2012
70-20-10 allocation and the inverse return ratio.

2025

Gartner, “How to Decide Whether to Build, Buy or Blend Your AI Projects”
Andrews & Hare, April 2025. Defend / Extend / Upend and sourcing factors.

2026

McKinsey, “From adoption to impact: Three horizons of AI transformation”, Jul 2026
Only 11% in the reinvention horizon.